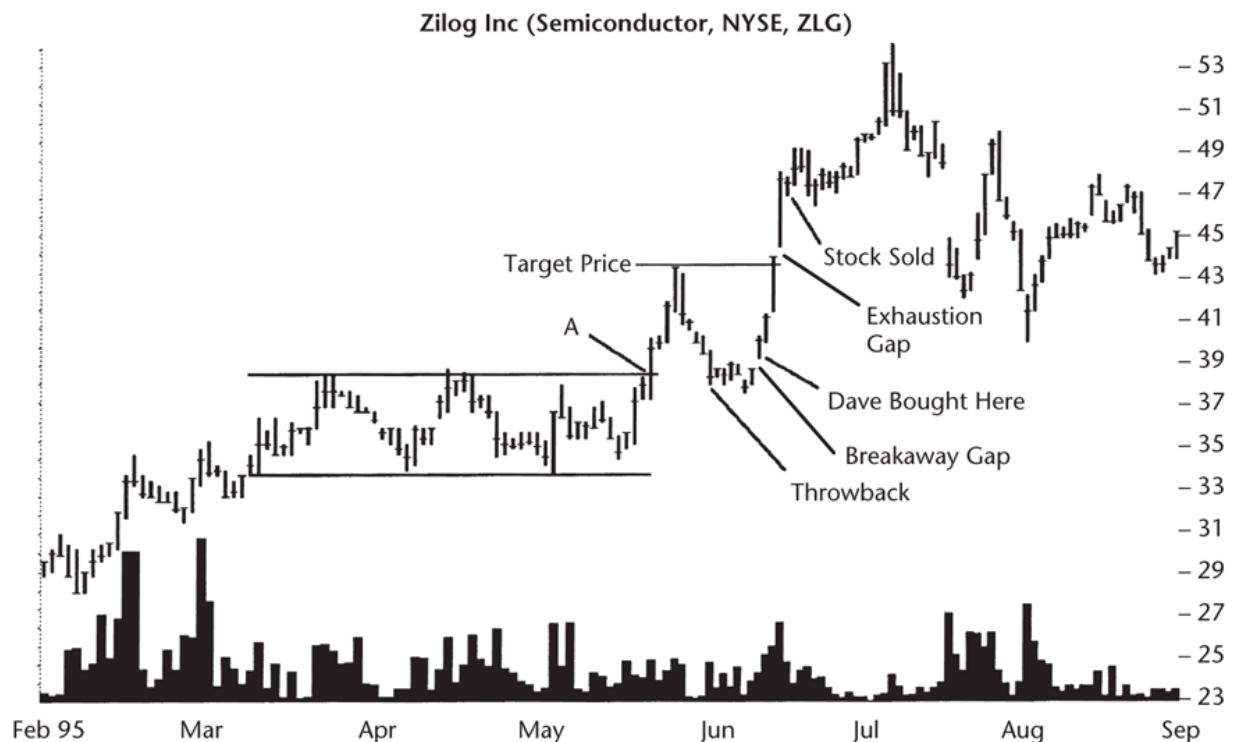


Sample Trade

Dave is an artist. It is tough making a living, and he wants to move to the computer world and become a graphics artist. He has been playing around with some hardware and software that duplicate the feel of a brush on various textures but wants to get the latest versions.

Recognizing chart patterns comes easily to him. With his keen eye, he has been on the prowl for a lucrative stock play. That is one reason he stumbled across the rectangle shown in [Figure 52.4](#), but he did not spot the rectangle in a timely fashion. The only reason he noticed it is because of the throwback.

Throwbacks and pullbacks are peculiar enough with their hooking retrace that they are easy to spot. One has only to look back and identify the associated chart pattern (a rectangle top, in this case).



[Figure 52.4](#) Rectangle top with breakaway and exhaustion gaps. Dave bought this rectangle after the throwback completed.

Dave computed the formation height and applied it to the top of the rectangle to get the expected minimum price move. Did he pull the trigger when price threw back to the pattern? No, he waited. He followed the stock